

cular emphasised the risk taken by users, traders, and merchants in using the virtual currency. The RBI also clearly stated that it does not consider virtual currencies as valid mediums of payment due to its lack of regulation or central authority. They also pointed out its high potential as a medium of speculative trading due to its lack of intrinsic value in their judgement. The biggest concern on the part of the government in the RBI circular was two fold - the financial risk taken by users and the use of Bitcoins in illegal activities like money laundering.

The Income Tax department also took interest in the activities of Bitcoin exchange owner like BuySellBitco.in and RBitco and instigated raids on their organisations. The issue of how Bitcoin earnings can be or should be taxed is still under discussion with no clear guidelines being issued. As a result many business' that work in online trading had to shutdown seeking clarification from regulators regarding the legality of their activities. So far no clear message has come forward from the government and a select few websites have begun operations again. Other websites like BuySellBitco.in are still shutdown waiting for the government.



**buy & sell
bitcoins
in INR**

- Buy/Sell Bitcoins in services are available to verified customers only. (Read More)
- Fees (Locality, Discount, Transaction, India)

Buy Sell Bitcoin in India online.

Post the RBI circular, we are suspending buy and sell operations until we can outline a clearer framework with which to work. This is being done to protect the interest of our customers and in no way is a reflection of Bitcoin's true potential or price.

The RBI and Income Tax departments investigations have placed many Bitcoin business' on hold in India.

Until the government is able to come to a fixed position on how it will deal with Bitcoin and other virtual currencies, users who wish to liquidate their Bitcoins to other currencies will have a very hard time. As a result they might use the currency for online transactions, but due to lack of any online retailers in India who accept Bitcoins their options will remain limited. Indian users should stay watchful of government advisories, to protect themselves and their financial interests, as well as to make the most of Bitcoins while they can. 